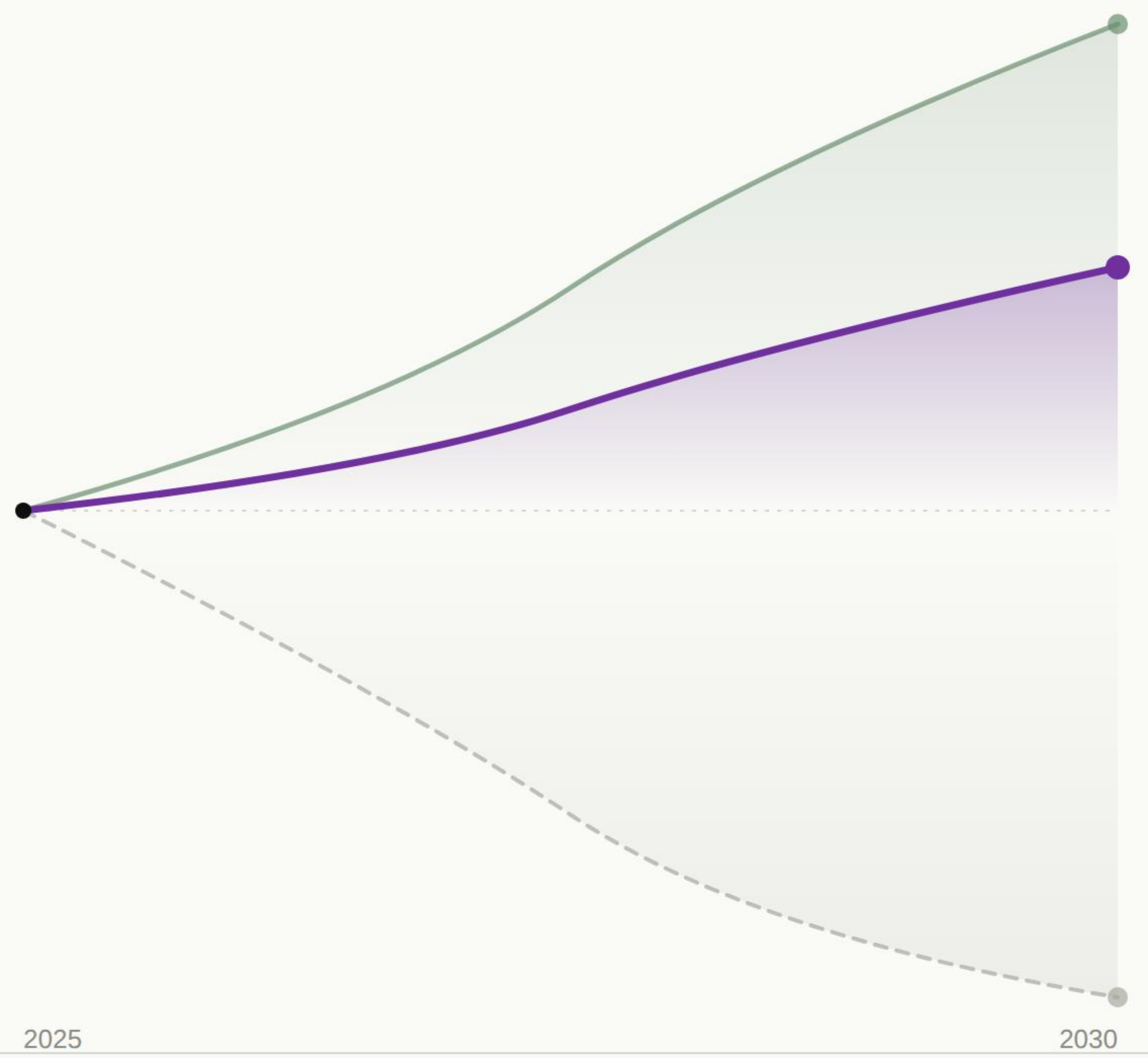
Market analysis
Search & AI · Q1 2026 outlook

AI is reshaping search. *Slowly.*

Three scenarios for global search through 2030, the data that distinguishes them, and the one we're betting on.



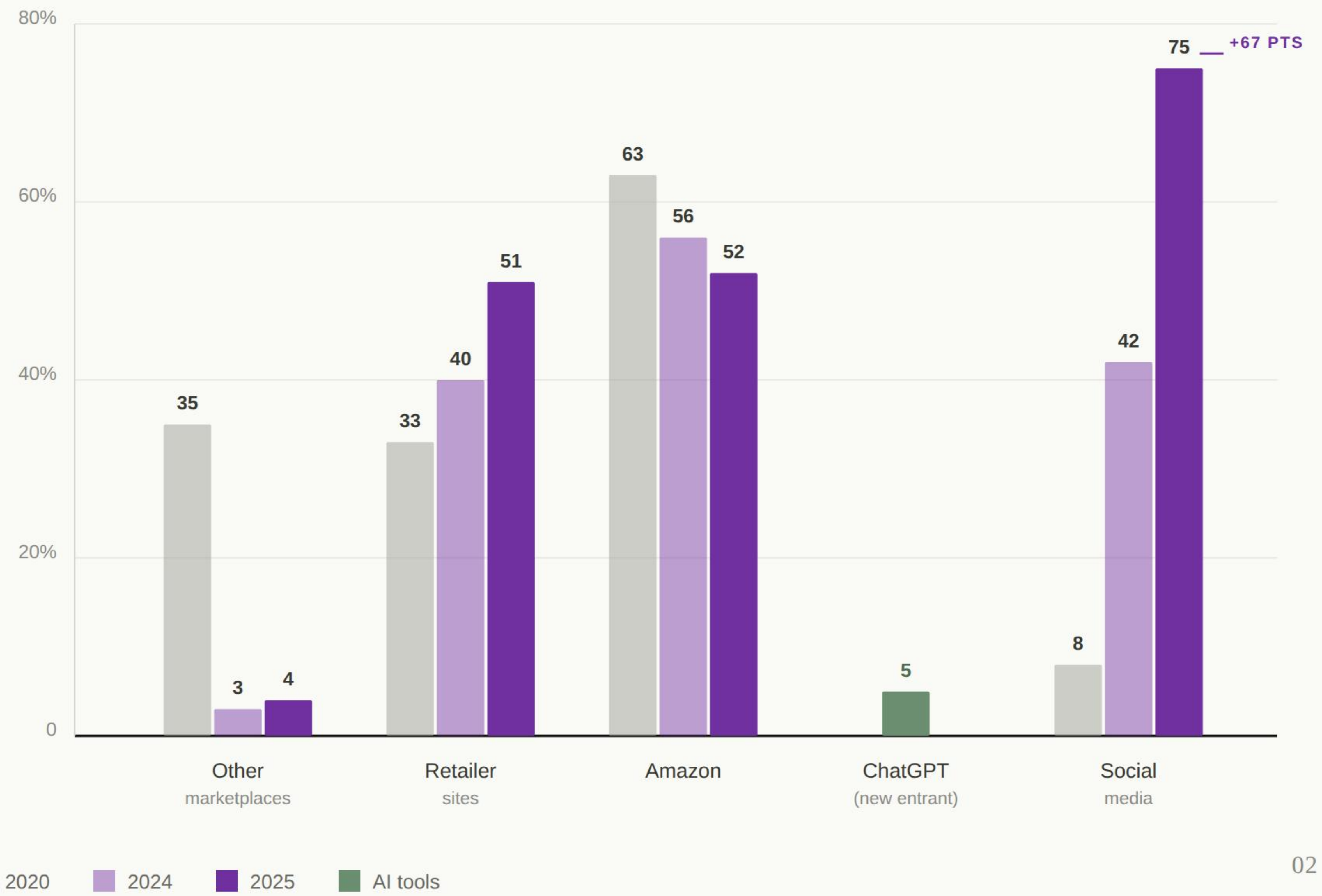
If AI is killing search, why *aren't users leaving?*

By every reasonable expectation, ChatGPT and its peers should be cannibalizing traditional search. Instead, traditional search use grew across every major shopping category in 2025, while social and AI tools *added* to the mix rather than replacing it.

The picture isn't substitution. It's expansion of where people search, with traditional engines holding their ground.

WHERE USERS START WHEN SHOPPING ONLINE

% of respondents · 2020, 2024, 2025



SOURCES Marketingcharts, eMarketer, Jungle Scout (2025). Note: respondents could select more than one option, so totals exceed 100%.

A DECADE OF GROWTH

Search has grown *every year* for a decade.

Google's search volume rose from 1.5 trillion queries in 2014 to over 5 trillion in 2025. Ad revenue followed, growing at ~16% per year. Both metrics (volume and monetization) have proven remarkably resilient through every previous "search is dead" cycle.

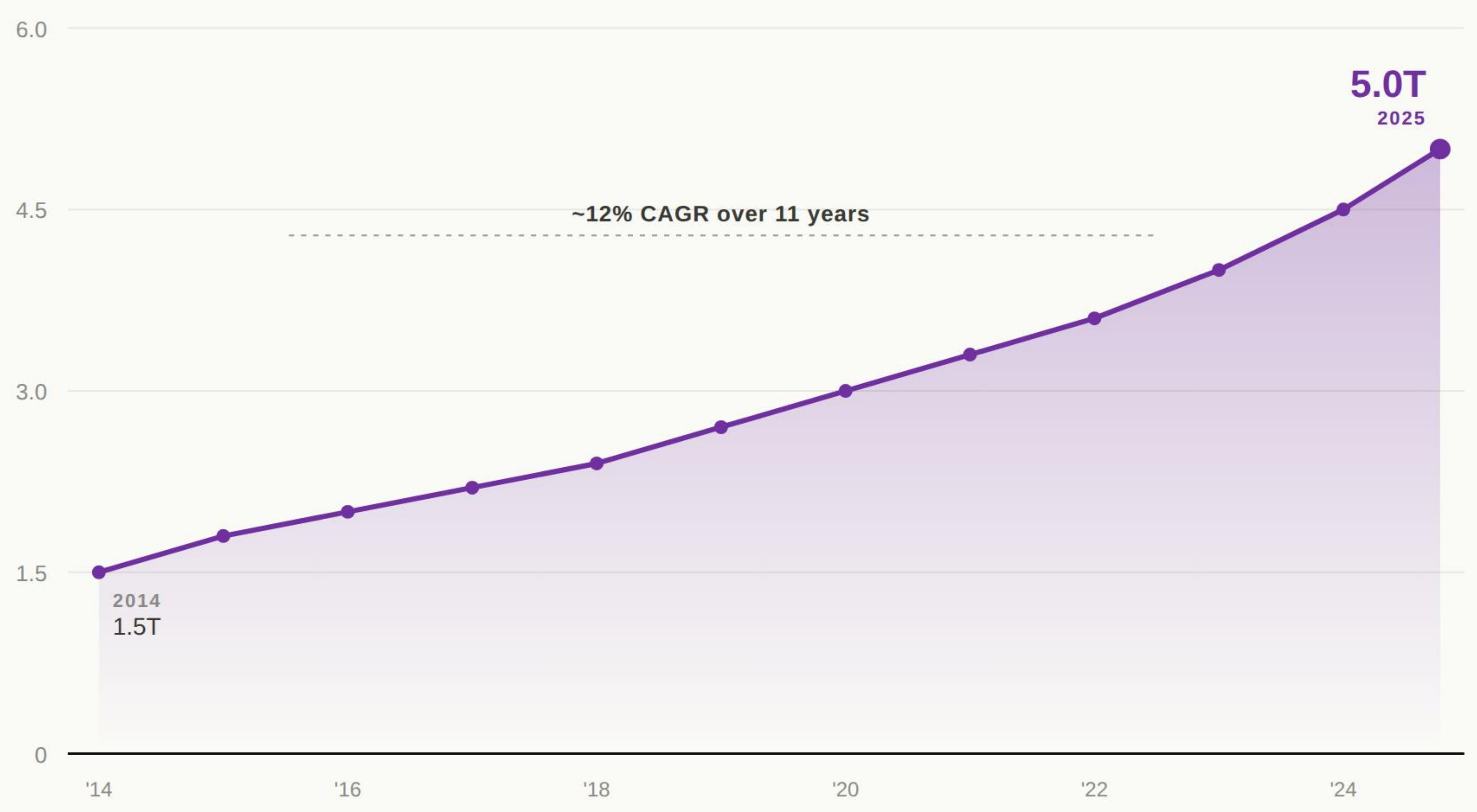
3.3×
VOLUME GROWTH, 2014–2025

~12%
ANNUALIZED VOLUME CAGR

~16%
ANNUALIZED REVENUE CAGR

GOOGLE SEARCH VOLUME

Queries, trillions per year · 2014–2025



SOURCES InternetLiveStats; DemandSage; Statista (2025). Note: 2017–2024 figures are industry estimates as Google stopped publishing search volume in 2016.

History gives us *three patterns* for what AI does to search.

Disruption rarely follows a single trajectory. Three prior cycles map onto three plausible scenarios for search, and they look very different from each other.

SCENARIO 01 · OUR PREDICTION

01 Reduced growth

STREAMING VS **BOX OFFICE**

Streaming scaled rapidly, but the box office ***kept growing in absolute terms***, just at a slower pace. Demand expanded; legacy held its ground.

Net effect: total film consumption expanded; both formats coexist.

SCENARIO 02

02 Revitalization

AMAZON VS **PHYSICAL RETAIL**

Amazon launched in 1994. Physical retail ***kept expanding for two more decades***. Disruption hit incumbents and formats, not the total market size.

Net effect: market expanded; legacy and new entrants both grew.

SCENARIO 03

03 Delayed impact

NETFLIX VS **BLOCKBUSTER**

Netflix launched in 1997; Blockbuster peaked in 2004. Once streaming scaled, collapse was rapid: ***Blockbuster bankrupt by 2010***. Disruption came late, then all at once.

Net effect: market preserved; one player consumed by the other.

SOURCES Christensen Institute; Harvard Business School case studies; Box Office Mojo & MPA (theatrical); US Census Bureau (retail); Netflix & Blockbuster annual reports.

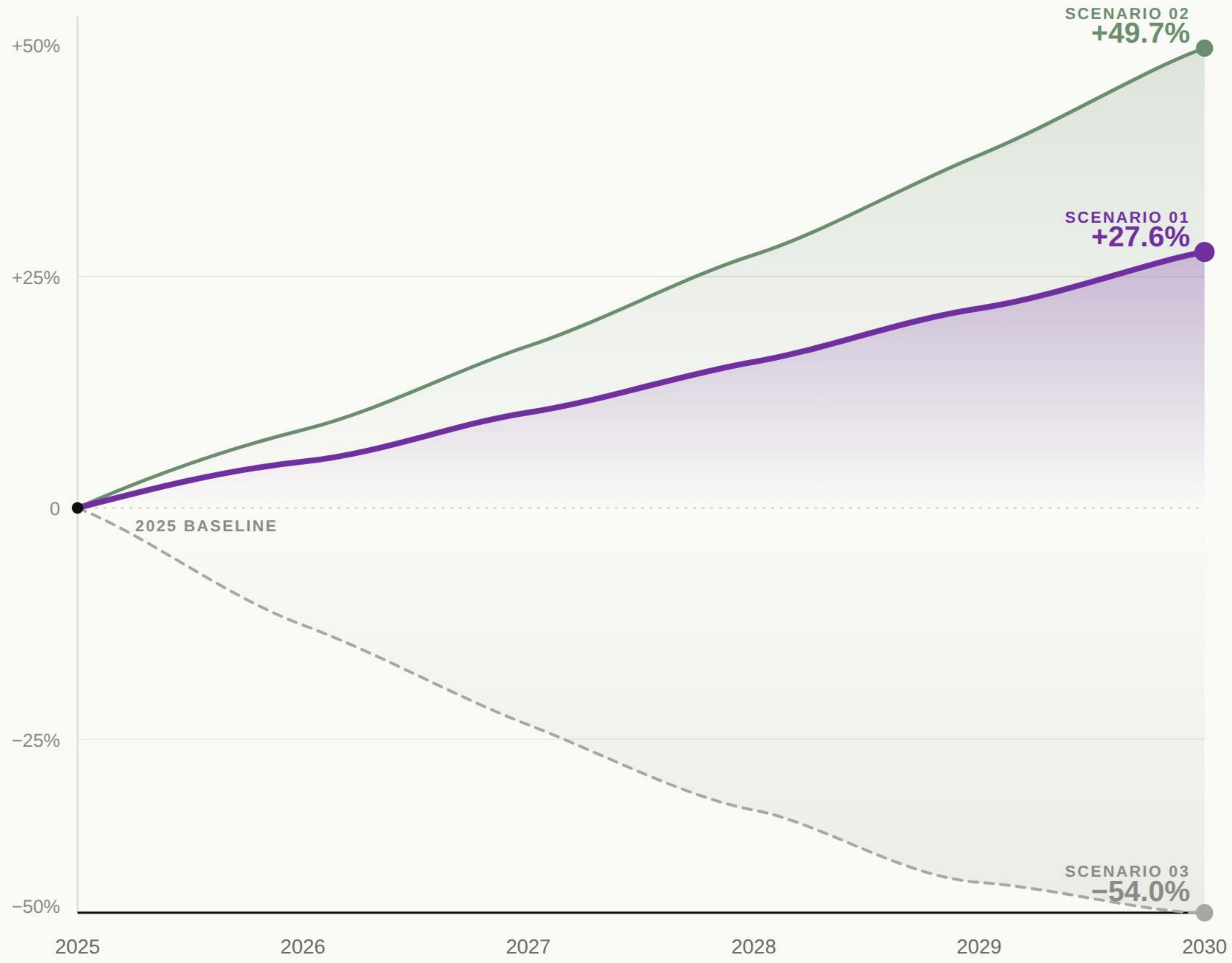
Reduced growth, *not collapse.*

Three scenarios for global search volume through 2030. Market consensus expects an AI-driven decline. The data points to something more boring, and more likely: continued growth at a slower pace.

01	**Neutral** Growth slowdown OUR PREDICTION	+5.0%
02	**Revitalization** AI unlocks new use cases	+8.4%
03	**Delayed impact** Agents and new interfaces displace search	−14.4%

CHANGE IN GLOBAL SEARCH VOLUME

Cumulative, 2025 baseline = 0



SOURCES Mordor Intelligence; BRI; McKinsey; Gartner; Bain. CAGR figures derived from compounded annual values; cumulative change shown as $(1+CAGR)^5 - 1$.

The shift is real: users stop clicking *after AI*.

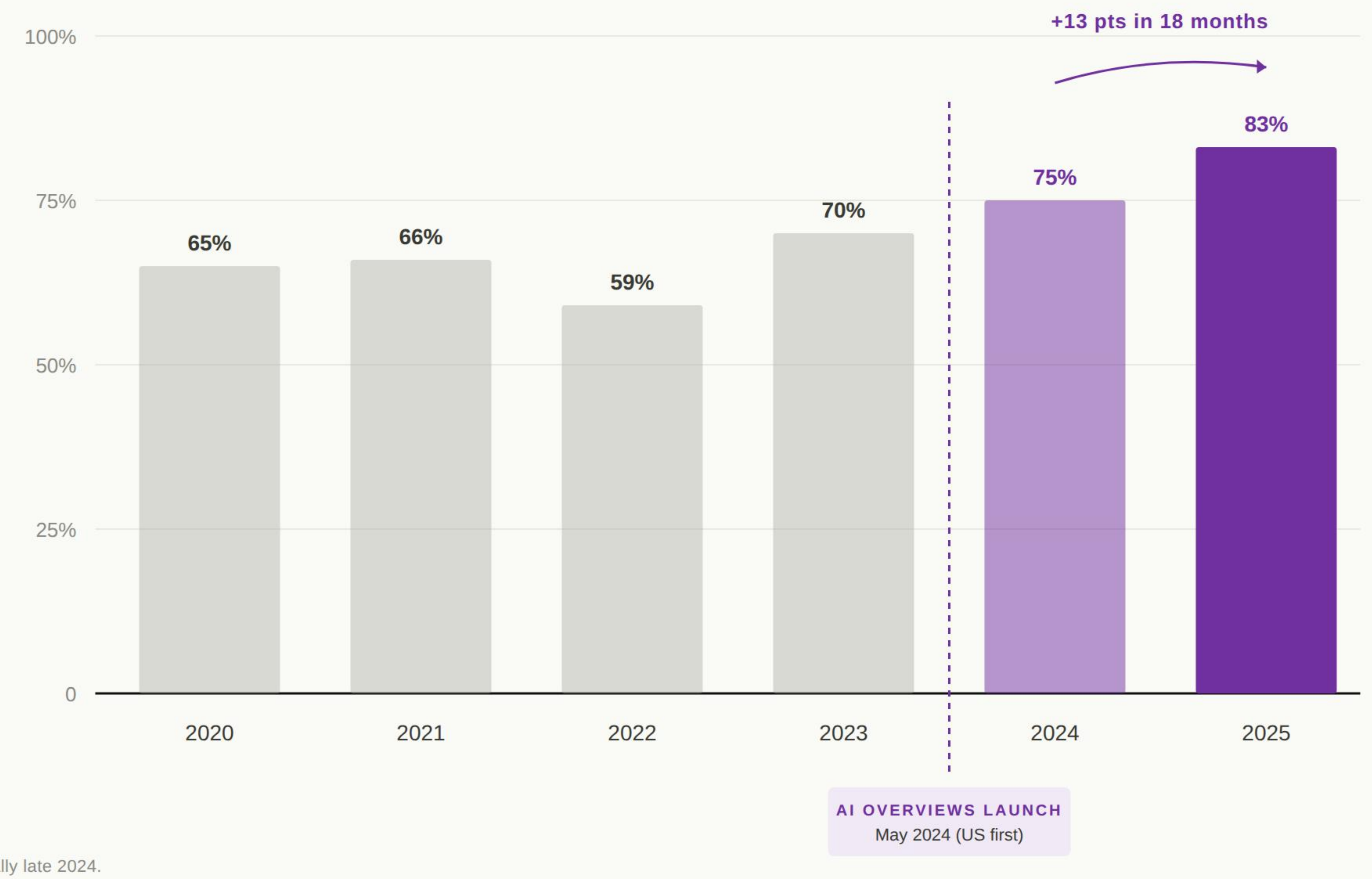
Zero-click search, where the user gets their answer without clicking through to any source, has been climbing since Google launched AI Overviews in mid-2024. The pattern is clear in the data, and concentrated in the US where AI Overviews shipped first.

+18 pts

Increase in global zero-click rate from 2020 to 2025, with most of the gain concentrated in the post-AIO period (2024 onward).

GLOBAL ZERO-CLICK RATE

% of searches that end without a click · 2020–2025



SOURCES SparkToro; SimilarWeb; Datos “State of Search” Q3 2025; BrightEdge; Search Engine Land. AI Overviews launched May 2024 (US), expanded globally late 2024.

But Google is *fighting back.* And it's working.

When Google introduced links and ads inside AI Overviews, click-through rates didn't just stabilize: they reversed. Brands cited inside AI summaries now see materially *higher* CTRs than they did before, on both organic and paid placements.

WHAT THIS MEANS

The zero-click trend has a ceiling.

Search engines are not passive observers of AI disruption. Google is actively reintroducing the click economy inside AI surfaces, and advertisers are responding by paying more per placement.

ORGANIC CLICK-THROUGH RATE · Q3 2025

Brand *not* cited in AI Overview		Brand cited in AI Overview
0.52%	+35% UPLIFT →	0.70%

PAID CLICK-THROUGH RATE · Q3 2025

Brand *not* cited in AI Overview		Brand cited in AI Overview
4.14%	+91% UPLIFT →	7.89%

SOURCES Seer Interactive (Q3 2025 CTR analysis, n > 10K queries); Xponent21; Semrush; Alphabet IR. Uplift = (cited − non-cited) / non-cited.

Slower volume, *pricier clicks.* Revenue grows anyway.

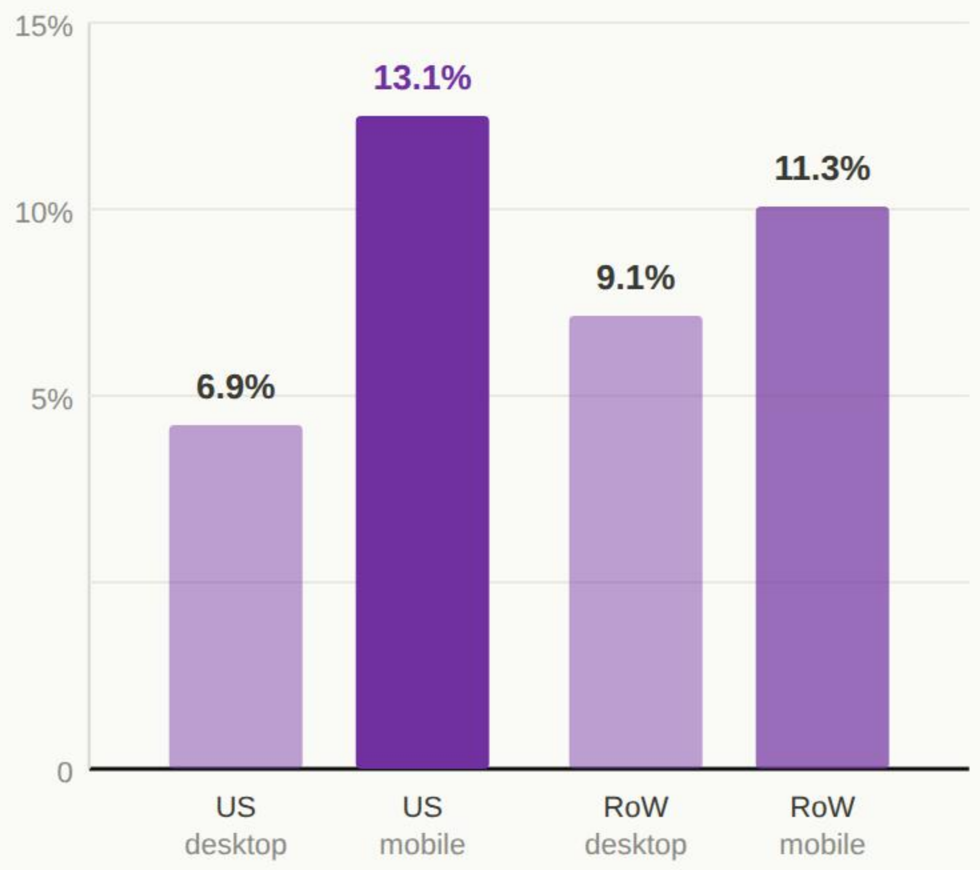
Reduced ad inventory creates auction pressure. Fewer slots, similar advertiser budgets, more competition per slot. The result is rising cost-per-click, which compounds against the slower-growing volume base to keep total revenue rising.

VOLUME		CTR		CPC		REVENUE
+5%	×	+1%	×	+9%	≈	**+15.6%**

Annualized growth rates, 2025–2030 base case. Revenue compounds via standard search-economics identity.

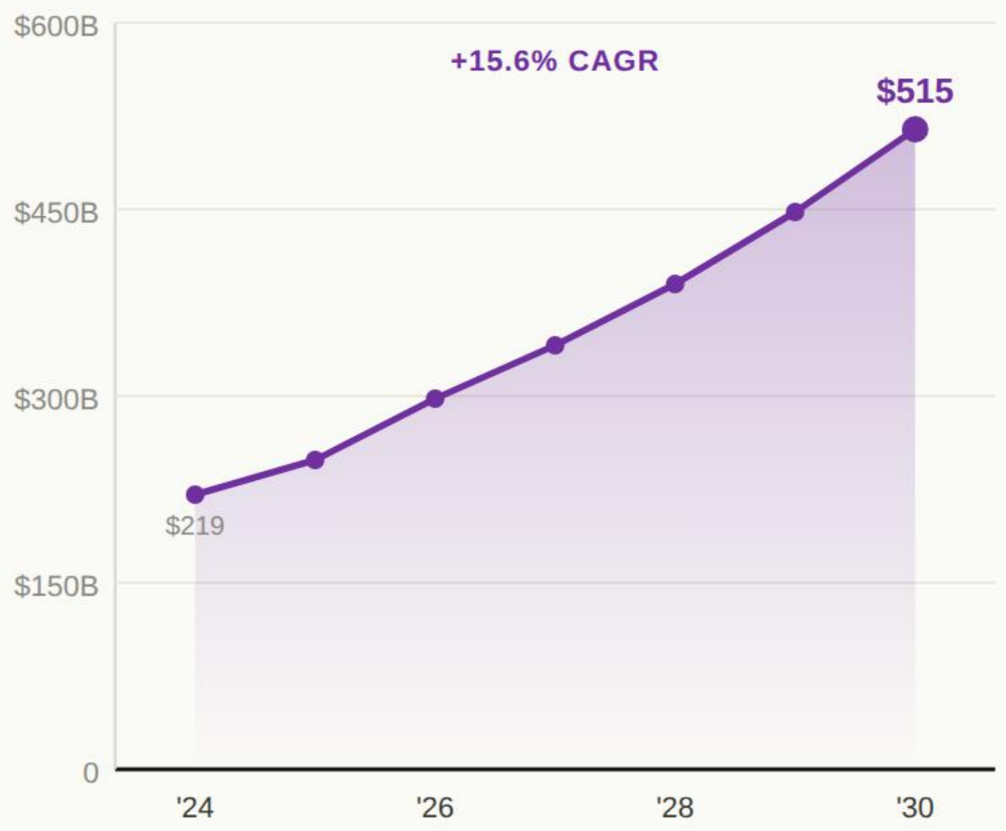
CPC GROWTH, 2025 VS 2024

Average impact, by region & device



SEARCH REVENUE FORECAST

USD billions, base case · 2024–2030



SOURCES Magna Global; WPP Media; Dentsu; Skai; Wordstream (CPC); Datos (revenue forecast). Identity: Revenue = Volume × CTR × CPC.

AI hits the cheap searches. *The valuable ones are safe.*

The aggregate “search is dying” story masks a sharper truth: AI Overviews displace exactly the searches that don’t make money. Informational queries (“what year did X happen”) get answered on the SERP. Transactional queries (“buy a coffee maker”) still need clicks, products, and conversions.

Roughly 95% of search revenue comes from queries that AI Overviews barely touch.

	VOLUME IMPACT	REVENUE IMPACT	
Informational ~53% of volume · <5% of revenue	High	Low	AI Overviews resolve these on the page. Most don’t carry ads anyway, so click loss ***doesn’t cost much***.
Transactional ~15% of volume · ~75% of revenue	Low	Low–medium	Users still need to ***buy*** something. AI summaries shift the click mix, but links and monetization stay largely intact.
Navigational ~32% of volume · 15–20% of revenue	Low	Low–medium	Users searching for a specific brand or site barely use AI substitutes. ***Site-seeking*** behavior stays resilient.

SOURCES Lyfyfy; Ahrefs; SparkToro; Search Engine Land; Semrush; GTech; Pew Research; Bind Media; Search Atlas. Volume / revenue split assumes ~75% of search revenue from transactional queries.

The disruption is real. The *reaction* is overdone.

TAKEAWAY 01

Search keeps growing through 2030.

Volume rises ~5% annually, revenue ~15.6%. Slower than the last decade but still compounding. Three independent forecasting methods converge on this base case.

TAKEAWAY 02

The mix shifts faster than the size.

AI Overviews cannibalize informational searches that never made money. Transactional and navigational searches, where ~95% of revenue lives, stay resilient.

TAKEAWAY 03

Watch CPCs, not query counts.

Volume softness is offset by rising cost-per-click. The leading indicator for the search economy isn’t how many queries Google sees: it’s what advertisers will pay for the surviving ones.

“The most likely future is rarely the most exciting one.”